

trend at any given point of time, this does not mean that one can accurately determine when to enter or exit the markets. The belief that one can catch the top and bottom is a myth. Mr Sanghvi ended up losing crores in trying to time the market. The market taught him, as it teaches all of us, that you only end up losing money in this game.

Ignoring inflation and taxes: Most investors focus on absolute returns instead of looking at real returns. To arrive at actual returns from your investments, you need to adjust for (or subtract) the impact of inflation and taxes. Mr Talwar was losing most of his equity returns because his holding period was less than a year and that meant that even if he made money on stocks, the taxman took away 15 per cent of his gains. Also, both these gentlemen held gold believing it to be a great asset. But on an inflation-adjusted basis, gold did not deliver much for them—in the twenty-seven years since he started working in 1990, gold delivered an inflation-adjusted return of just 2 per cent per annum for Mr Talwar.